

“trading sardines.” Tulip and sardine prices are anchored by the cost of other tangible goods—other flowers or other seafood. Crypto is untethered speculation. Over a six-month span in 2021 and 2022, Bitcoin traded above \$67,000 and then collapsed to under \$20,000. There is no rational way of determining if either price was correct, or that any price is; Bitcoins are for trading, not eating.

Leading investment firms once shunned crypto as speculative and risky, unsuitable for clients. Mimicking the behavior of brokers in the 1920s, they soon cashiered their so-called principles. The big investment banks established crypto departments to promote or enable speculative trading. Wall Street goes where the money is. Mathew McDermott, global head of digital assets at Goldman Sachs, proclaimed that Goldman would expand in crypto to meet investor demand. When crypto prices plunged, McDermott said, “Seeing moves like this in this environment doesn’t come as a huge surprise.”³⁵ It would be interesting to hear if Goldman’s clients were surprised.

Fidelity Investments, broker to Main Street, pushed the Department of Labor in 2022 to muzzle the latter’s “serious concerns” over plans, including those by Fidelity, to include Bitcoin as an option for 401(k) sponsors. If it ultimately succeeds, crypto will become part of the nest eggs set aside for workers’ retirements. According to the federal pension statute ERISA, retirement plan sponsors, many of whom are Fidelity clients, must adhere to an exacting standard of professionalism, which requires that the investment options offered to participants are “prudent.” Fidelity would not comment on whether cryptocurrency was prudent; if sponsors want it, they will sell it. On its

³⁵ James Rubin, “Goldman’s Crypto Chief Worries About Fraud, but Not Cryptocurrency’s Future,” *Coindesk.com*, May 22, 2021, <https://www.coindesk.com/markets/2021/05/22/goldmans-crypto-chief-worries-about-fraud-but-not-cryptocurrencys-future/>, and Mathew McDermott and Allison Nathan, “Crypto Volatility: What’s the Outlook for Digital Assets?” *Exchanges at Goldman Sachs* (podcast), <https://www.goldmansachs.com/insights/podcasts/episodes/05-18-22-mathew-mcdermott-f/transcript.pdf>.